CAPITAL IMPROVEMENT PLAN

Osprey Student Living | Salt Lake City, UT

Property	Osprey Student Living
Plan Date	December 16, 2020
Prepared For	Vireo Income Properties
Total Plan Budget	$429,000

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
HVAC replacement	Building	05/30/23	Q3 2025	$563,000	$253,883	Approved
Lobby renovation	Life Safety	08/03/24	Q4 2026	$225,000	$10,587	Bidding
Sewer line repair	Building	03/14/24	Q4 2026	$683,000	$61,067	Approved
Roof replacement - Bldg D	Life Safety	06/30/24	Q2 2026	$714,000	$204,549	In progress
HVAC replacement	Interior	01/10/25	Q4 2025	$532,000	$288,220	In progress
Fence replacement	Energy	12/23/23	Q2 2025	$375,000	$81,337	Deferred
Signage / monument	Interior	06/19/25	Q1 2027	$628,000	$609,926	Bidding
HVAC replacement	Life Safety	08/19/24	Q2 2027	$9,000	$743	In progress
Roof replacement - Bldg C	Energy	10/25/23	Q3 2026	$730,000	$52,222	Complete
Door hardware	Building	06/09/24	Q3 2026	$593,000	$538,121	Complete
Amenity renovation	Energy	11/05/24	Q2 2027	$803,000	$136,339	Complete
LED lighting retrofit	Life Safety	08/08/24	Q4 2025	$66,000	$19,354	Bidding
Landscape / irrigation	Energy	06/30/26	Q3 2025	$187,000	$92,435	Deferred
Door hardware	Building	02/16/23	Q3 2026	$547,000	$238,437	Deferred
Unit interior upgrades	Energy	02/03/25	Q4 2026	$854,000	$351,984	In progress
Lobby renovation	Energy	07/17/25	Q2 2026	$416,000	$146,537	In progress
Security camera upgrade	Interior	03/14/24	Q2 2026	$249,000	$59,064	In progress
Landscape / irrigation	Life Safety	05/27/25	Q2 2026	$306,000	$175,703	Bidding
Fire alarm panel upgrade	Interior	07/02/26	Q4 2025	$818,000	$641,871	Complete
Storefront glazing	Energy	03/18/25	Q3 2025	$137,000	$131,334	Complete
Water heater replacement	Interior	12/14/25	Q1 2026	$155,000	$8,707	Deferred
Lobby renovation	Site	01/20/24	Q4 2027	$839,000	$352,502	Bidding
Amenity renovation	Interior	03/01/26	Q2 2026	$743,000	$363,209	Complete

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Parking lot resurfacing	Site	05/06/23	Q4 2025	$655,000	$571,458	Approved
Pool resurfacing	Life Safety	02/23/24	Q2 2027	$639,000	$326,254	Approved
Unit interior upgrades	Life Safety	01/22/26	Q1 2027	$717,000	$750,303	Bidding
Sewer line repair	Building	12/14/25	Q2 2027	$357,000	$264,281	Bidding
LED lighting retrofit	Building	01/22/26	Q1 2025	$339,000	$151,955	Complete
Unit interior upgrades	Building	05/03/24	Q4 2026	$461,000	$416,900	In progress
Sewer line repair	Interior	07/09/26	Q3 2026	$159,000	$114,244	Bidding
Fence replacement	Building	01/07/23	Q1 2025	$307,000	$60,842	Complete
Elevator modernization	Building	02/02/23	Q1 2025	$452,000	$204,777	Approved
Door hardware	Building	06/09/23	Q4 2027	$785,000	$295,346	Bidding
Fence replacement	Site	05/16/24	Q1 2027	$17,000	$17,431	Deferred
Lobby renovation	Interior	01/23/24	Q3 2026	$295,000	$166,903	Approved
Pool resurfacing	Site	02/09/25	Q3 2027	$768,000	$802,479	In progress
Fire alarm panel upgrade	Life Safety	08/09/24	Q1 2027	$648,000	$32,907	Complete
Fire alarm panel upgrade	Life Safety	11/09/25	Q3 2027	$462,000	$398,499	In progress
HVAC replacement	Energy	02/19/26	Q4 2027	$410,000	$32,872	Approved
Lobby renovation	Site	04/23/25	Q3 2026	$839,000	$351,013	Deferred
LED lighting retrofit	Energy	01/16/23	Q3 2026	$468,000	$326,834	Approved
Signage / monument	Life Safety	05/24/26	Q2 2027	$695,000	$339,192	In progress
Sewer line repair	Building	12/10/23	Q3 2027	$104,000	$98,528	In progress
Security camera upgrade	Energy	10/17/23	Q1 2027	$849,000	$622,464	Complete
Fire alarm panel upgrade	Interior	08/13/26	Q4 2025	$685,000	$371,374	Deferred
Fence replacement	Energy	03/22/23	Q2 2025	$489,000	$25,227	Bidding
Amenity renovation	Energy	03/21/24	Q1 2026	$298,000	$33,445	Bidding
Parking lot resurfacing	Interior	06/18/24	Q4 2027	$120,000	$68,222	In progress
Amenity renovation	Site	01/11/23	Q2 2027	$333,000	$169,110	Deferred
Exterior paint	Energy	10/05/23	Q2 2025	$704,000	$316,770	In progress
Unit interior upgrades	Life Safety	02/20/26	Q4 2025	$659,000	$448,512	Approved
Unit interior upgrades	Life Safety	05/21/25	Q3 2026	$864,000	$643,068	Deferred
Exterior paint	Energy	05/18/26	Q2 2026	$107,000	$4,873	In progress
Fence replacement	Building	02/12/25	Q3 2025	$891,000	$498,534	Complete
Pool resurfacing	Site	06/07/23	Q4 2027	$729,000	$182,509	Approved
Sewer line repair	Site	02/26/23	Q3 2025	$776,000	$179,339	In progress
ADA compliance	Building	07/22/25	Q1 2026	$271,000	$116,358	Complete
Exterior paint	Interior	02/28/23	Q4 2026	$277,000	$230,118	Approved
Fence replacement	Energy	12/05/23	Q1 2027	$635,000	$425,992	Bidding
Security camera upgrade	Building	02/16/25	Q1 2026	$615,000	$59,490	Deferred
Exterior paint	Site	05/09/24	Q4 2026	$334,000	$246,465	In progress
Unit interior upgrades	Site	04/25/25	Q2 2026	$256,000	$74,133	Bidding
Water heater replacement	Interior	01/03/26	Q4 2025	$184,000	$17,502	Approved
ADA compliance	Building	01/13/24	Q4 2025	$23,000	$10,758	Complete

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Observed Conditions

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 7 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $296,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 48 months.

Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 29 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $458,000. Elevators were last modernized 12 years ago and are operating without deficiency.

Risk Considerations

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. Pre-leasing for the coming academic year stands at 94.1% with rental rates per bed averaging $1,008. The community is leased by the bed on individual lease liability with parent guaranties and furnished units.

Projected levered IRR is 2.4% with an equity multiple of 1.23x over the hold period. Pre-leasing for the coming academic year stands at 92.2% with rental rates per bed averaging $1,008. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Distributions to investors for the quarter were paid at an annualized rate of 5.0% on contributed capital.

Recommendations

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 34 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $367,000.

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $270,000. Elevators were last modernized 5 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 24 months.

Business Plan Progress

Distributions to investors for the quarter were paid at an annualized rate of 4.3% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. The property is located 8 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The community is leased by the bed on individual lease liability with parent guaranties and furnished units.

Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Projected levered IRR is 2.1% with an equity multiple of 1.43x over the hold period. The property is located 5 blocks from the main campus with a dedicated shuttle serving fall and spring terms. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 4.9% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Deferred Maintenance

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $154,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 27 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Security camera upgrade	Energy	06/26/25	Q4 2025	$170,000	$142,624	Complete
Landscape / irrigation	Interior	05/08/23	Q1 2026	$139,000	$99,510	In progress
ADA compliance	Site	02/19/25	Q4 2026	$733,000	$557,209	Approved
Unit interior upgrades	Energy	08/21/23	Q3 2026	$619,000	$217,357	In progress
Door hardware	Energy	03/06/26	Q4 2027	$421,000	$440,704	Bidding
Amenity renovation	Building	04/24/24	Q3 2025	$600,000	$8,717	In progress
Door hardware	Energy	10/22/26	Q2 2025	$61,000	$56,115	Bidding
Parking lot resurfacing	Site	10/21/23	Q4 2026	$206,000	$75,076	Deferred
Sewer line repair	Building	03/28/24	Q3 2026	$430,000	$393,214	Complete
Sewer line repair	Site	04/30/25	Q4 2025	$375,000	$281,710	Bidding
Fire alarm panel upgrade	Site	12/23/25	Q1 2026	$748,000	$322,494	Deferred
Amenity renovation	Life Safety	06/02/23	Q3 2026	$399,000	$298,889	In progress
Unit interior upgrades	Interior	03/27/24	Q3 2025	$639,000	$460,348	Deferred
Exterior paint	Energy	02/14/25	Q3 2025	$222,000	$139,278	Bidding
ADA compliance	Interior	01/09/24	Q2 2026	$491,000	$274,699	Complete
Water heater replacement	Interior	04/13/25	Q3 2026	$646,000	$357,144	In progress
Security camera upgrade	Building	04/12/25	Q3 2027	$861,000	$826,350	In progress
ADA compliance	Energy	02/25/26	Q4 2026	$479,000	$478,306	Bidding
HVAC replacement	Life Safety	06/26/23	Q2 2025	$206,000	$214,551	Deferred
Landscape / irrigation	Interior	11/07/24	Q3 2027	$183,000	$35,102	Approved
Storefront glazing	Site	09/10/23	Q1 2026	$264,000	$259,204	Complete
HVAC replacement	Interior	04/12/23	Q4 2027	$469,000	$384,063	Approved
ADA compliance	Life Safety	10/14/24	Q1 2025	$337,000	$58,920	Bidding
Storefront glazing	Site	06/25/23	Q1 2027	$67,000	$21,170	Bidding
Roof replacement - Bldg C	Interior	02/13/23	Q1 2027	$413,000	$191,134	Deferred
Lobby renovation	Site	04/16/24	Q1 2027	$272,000	$29,595	Deferred
Unit interior upgrades	Energy	07/03/26	Q3 2027	$401,000	$270,146	Complete
Roof replacement - Bldg B	Interior	05/25/26	Q1 2026	$620,000	$278,895	Bidding
Security camera upgrade	Life Safety	06/03/24	Q3 2026	$739,000	$421,351	Deferred
Signage / monument	Building	11/10/23	Q3 2027	$155,000	$155,187	Bidding
LED lighting retrofit	Interior	04/19/23	Q2 2027	$217,000	$24,072	Complete
Landscape / irrigation	Site	01/01/25	Q1 2025	$106,000	$106,392	Complete
ADA compliance	Site	10/01/25	Q3 2025	$171,000	$86,979	In progress
Pool resurfacing	Life Safety	10/21/25	Q4 2025	$674,000	$517,520	Complete
Amenity renovation	Energy	02/07/26	Q1 2025	$108,000	$66,068	Complete
Sewer line repair	Energy	05/18/24	Q4 2026	$474,000	$148,720	Complete
Pool resurfacing	Site	02/15/25	Q1 2027	$315,000	$314,814	Complete
Unit interior upgrades	Interior	01/08/25	Q2 2027	$425,000	$288,487	Complete
Door hardware	Interior	12/25/23	Q4 2025	$478,000	$174,038	Complete
Lobby renovation	Energy	11/04/25	Q1 2026	$831,000	$868,422	Bidding
Door hardware	Site	12/16/25	Q3 2026	$288,000	$137,813	Bidding

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Recommendations

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 22 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 3 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $104,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 9 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $414,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 3 months.

Business Plan Progress

Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Projected levered IRR is 10.8% with an equity multiple of 1.31x over the hold period. Pre-leasing for the coming academic year stands at 92.1% with rental rates per bed averaging $1,008. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Pre-leasing for the coming academic year stands at 88.8% with rental rates per bed averaging $1,008. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns.

Recommendations

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $270,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 43 months.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 3 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $22,000. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Business Plan Progress

The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns. Projected levered IRR is 9.9% with an equity multiple of 1.11x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Distributions to investors for the quarter were paid at an annualized rate of 4.6% on contributed capital.

Observed Conditions

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
HVAC replacement	Energy	04/22/24	Q1 2027	$820,000	$93,731	Complete
Unit interior upgrades	Energy	05/04/24	Q4 2025	$236,000	$66,346	Approved
HVAC replacement	Interior	07/20/23	Q1 2025	$129,000	$118,000	In progress
ADA compliance	Energy	06/12/24	Q4 2025	$445,000	$179,542	Bidding
Amenity renovation	Interior	07/08/24	Q2 2025	$615,000	$222,550	Bidding
Sewer line repair	Energy	04/19/26	Q3 2025	$295,000	$60,304	Bidding
Sewer line repair	Site	03/30/24	Q2 2027	$531,000	$148,765	Deferred
LED lighting retrofit	Interior	04/24/25	Q1 2027	$877,000	$744,152	Approved
Door hardware	Building	05/26/26	Q1 2027	$360,000	$136,178	In progress
Amenity renovation	Interior	03/12/25	Q4 2027	$377,000	$266,905	Complete
Unit interior upgrades	Interior	02/18/23	Q4 2026	$619,000	$85,819	Deferred
Elevator modernization	Energy	07/18/26	Q3 2027	$244,000	$156,541	Complete
ADA compliance	Life Safety	08/30/26	Q3 2025	$174,000	$173,657	Complete
Security camera upgrade	Building	01/31/23	Q2 2027	$114,000	$60,602	Complete
Fence replacement	Interior	07/29/25	Q2 2025	$733,000	$500,702	Complete
Signage / monument	Energy	07/04/26	Q1 2025	$178,000	$118,280	Bidding
Landscape / irrigation	Building	10/07/23	Q3 2027	$418,000	$406,432	Deferred
Pool resurfacing	Interior	12/02/24	Q3 2027	$20,000	$16,827	Complete
Fence replacement	Life Safety	04/22/24	Q4 2025	$451,000	$354,431	Complete
Amenity renovation	Energy	10/03/26	Q2 2025	$837,000	$808,974	Approved
Pool resurfacing	Energy	10/07/24	Q2 2025	$689,000	$371,088	Deferred
HVAC replacement	Life Safety	09/18/26	Q1 2025	$349,000	$113,599	Approved
Pool resurfacing	Interior	06/19/26	Q2 2026	$242,000	$151,075	Complete
Water heater replacement	Site	09/29/24	Q4 2027	$41,000	$17,891	In progress
Fence replacement	Building	04/28/23	Q2 2027	$245,000	$4,153	Bidding
Storefront glazing	Life Safety	02/28/24	Q3 2026	$640,000	$58,174	Deferred
Water heater replacement	Life Safety	12/23/23	Q1 2027	$897,000	$658,543	In progress
Lobby renovation	Life Safety	01/28/26	Q2 2026	$671,000	$580,312	Approved
Parking lot resurfacing	Life Safety	03/11/24	Q4 2025	$467,000	$345,137	In progress
Door hardware	Building	05/28/26	Q3 2026	$797,000	$309,084	Deferred
Signage / monument	Energy	06/12/26	Q2 2026	$660,000	$307,555	Deferred
Sewer line repair	Life Safety	03/01/23	Q4 2026	$490,000	$137,021	In progress
Parking lot resurfacing	Interior	01/16/24	Q2 2025	$326,000	$242,276	In progress
Parking lot resurfacing	Site	12/17/25	Q3 2026	$175,000	$139,351	Bidding
Security camera upgrade	Site	01/26/26	Q4 2027	$29,000	$30,140	In progress
Water heater replacement	Energy	02/21/24	Q2 2025	$69,000	$69,815	Approved
Security camera upgrade	Life Safety	12/12/23	Q2 2027	$149,000	$89,625	Complete
Security camera upgrade	Interior	11/07/24	Q4 2025	$489,000	$260,928	Approved
Parking lot resurfacing	Life Safety	01/12/23	Q2 2026	$716,000	$667,942	Deferred
Elevator modernization	Site	10/20/26	Q2 2025	$235,000	$21,298	Complete

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Recommendations

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $313,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 25 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 5 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $223,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Risk Considerations

The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 7.3% on contributed capital.

The property is located 6 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 6.7% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Pre-leasing for the coming academic year stands at 91.8% with rental rates per bed averaging $1,008.

Observed Conditions

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 8 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $232,000.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 33 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Investor Distributions

Pre-leasing for the coming academic year stands at 93.0% with rental rates per bed averaging $1,008. Projected levered IRR is 8.4% with an equity multiple of 1.4x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 7.9% on contributed capital.

Pre-leasing for the coming academic year stands at 91.3% with rental rates per bed averaging $1,008. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Projected levered IRR is 2.9% with an equity multiple of 1.46x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns.

Deferred Maintenance

Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 5 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 37 months.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Fire alarm panel upgrade	Interior	05/22/25	Q2 2027	$741,000	$534,103	Bidding
Roof replacement - Bldg A	Building	07/10/26	Q2 2027	$617,000	$1,771	Deferred
ADA compliance	Site	02/05/23	Q3 2027	$406,000	$263,692	In progress
Fence replacement	Energy	07/14/23	Q4 2027	$272,000	$202,457	Complete
Unit interior upgrades	Site	09/29/26	Q2 2027	$870,000	$8,436	In progress
Door hardware	Interior	12/29/25	Q2 2026	$85,000	$66,763	Bidding
LED lighting retrofit	Energy	07/02/24	Q3 2027	$179,000	$158,059	Deferred
Landscape / irrigation	Interior	02/26/26	Q3 2025	$674,000	$127,050	Approved
HVAC replacement	Building	12/24/24	Q4 2025	$558,000	$298,019	In progress
Lobby renovation	Site	04/12/23	Q2 2027	$463,000	$156,041	Deferred
Landscape / irrigation	Life Safety	07/07/25	Q3 2027	$122,000	$113,216	Deferred
Pool resurfacing	Energy	04/05/25	Q1 2027	$43,000	$34,952	In progress
Parking lot resurfacing	Site	01/26/23	Q3 2025	$175,000	$171,418	Complete
HVAC replacement	Interior	05/08/23	Q4 2026	$245,000	$172,461	Complete
Unit interior upgrades	Site	03/31/23	Q3 2025	$160,000	$167,738	Complete
LED lighting retrofit	Life Safety	10/03/24	Q4 2026	$693,000	$122,012	Deferred
Sewer line repair	Building	06/27/26	Q3 2027	$735,000	$657,342	Complete
Pool resurfacing	Building	09/27/23	Q3 2027	$240,000	$223,009	Deferred
Fire alarm panel upgrade	Life Safety	12/03/24	Q4 2027	$484,000	$306,097	Approved
Water heater replacement	Building	08/23/26	Q1 2025	$897,000	$300,079	Bidding
Pool resurfacing	Building	08/16/24	Q2 2027	$600,000	$103,563	Approved
Landscape / irrigation	Life Safety	09/01/25	Q4 2025	$436,000	$41,060	Deferred
HVAC replacement	Energy	05/26/23	Q2 2027	$253,000	$25,033	In progress
Roof replacement - Bldg A	Building	11/11/26	Q3 2026	$630,000	$295,570	Approved
Fence replacement	Energy	07/30/23	Q2 2026	$793,000	$358,693	Bidding
Pool resurfacing	Building	06/25/26	Q1 2027	$182,000	$144,239	Bidding
Lobby renovation	Site	08/07/25	Q1 2027	$557,000	$408,832	Approved
Parking lot resurfacing	Interior	09/03/26	Q2 2025	$781,000	$558,253	Deferred
Fire alarm panel upgrade	Site	07/05/24	Q1 2025	$475,000	$411,901	Complete
Parking lot resurfacing	Life Safety	09/25/25	Q4 2026	$105,000	$54,220	Complete
Landscape / irrigation	Energy	04/03/25	Q1 2027	$407,000	$405,775	Complete
Lobby renovation	Interior	09/12/23	Q4 2025	$554,000	$294,277	Complete
Roof replacement - Bldg C	Site	05/03/23	Q1 2026	$608,000	$405,868	Complete
Unit interior upgrades	Site	12/26/24	Q1 2026	$521,000	$47,056	In progress
HVAC replacement	Site	06/13/24	Q4 2027	$702,000	$407,990	Approved
Unit interior upgrades	Energy	01/05/24	Q2 2026	$192,000	$35,448	Deferred
Pool resurfacing	Site	06/09/24	Q4 2026	$464,000	$435,106	In progress
Water heater replacement	Building	04/20/26	Q2 2026	$734,000	$560,491	In progress
Security camera upgrade	Energy	10/12/24	Q2 2027	$255,000	$228,962	Deferred
Signage / monument	Energy	08/21/23	Q1 2026	$551,000	$411,563	Approved
HVAC replacement	Building	09/09/25	Q2 2027	$204,000	$66,988	Approved

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Deferred Maintenance

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 25 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $127,000.

Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $136,000. Elevators were last modernized 7 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Risk Considerations

The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The property is located 9 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Pre-leasing for the coming academic year stands at 93.0% with rental rates per bed averaging $1,008. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns.

Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The property is located 2 blocks from the main campus with a dedicated shuttle serving fall and spring terms. The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. Pre-leasing for the coming academic year stands at 91.1% with rental rates per bed averaging $1,008.

Recommendations

Elevators were last modernized 11 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 18 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $93,000.

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $27,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 8 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Investment Overview

Distributions to investors for the quarter were paid at an annualized rate of 5.9% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 11.2% with an equity multiple of 1.28x over the hold period. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room.

Distributions to investors for the quarter were paid at an annualized rate of 6.2% on contributed capital. The property is located 2 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Pre-leasing for the coming academic year stands at 93.1% with rental rates per bed averaging $1,008. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Recommendations

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $209,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 12 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Door hardware	Energy	02/07/25	Q4 2027	$240,000	$119,450	In progress
Door hardware	Site	03/27/23	Q1 2025	$290,000	$303,265	Deferred
Landscape / irrigation	Interior	01/09/24	Q1 2027	$627,000	$421,946	In progress
Door hardware	Life Safety	11/24/25	Q3 2027	$316,000	$303,041	Approved
ADA compliance	Interior	03/24/23	Q1 2025	$184,000	$153,554	In progress
Sewer line repair	Interior	10/17/24	Q2 2025	$898,000	$72,220	Bidding
Unit interior upgrades	Interior	08/19/24	Q4 2027	$727,000	$125,926	Complete
Pool resurfacing	Site	09/18/24	Q4 2027	$93,000	$22,145	Approved
Roof replacement - Bldg C	Interior	07/31/25	Q3 2025	$292,000	$25,903	Complete
Lobby renovation	Life Safety	10/10/25	Q1 2027	$892,000	$676,605	In progress
Storefront glazing	Site	06/15/26	Q1 2026	$512,000	$140,195	Deferred
Unit interior upgrades	Life Safety	10/13/23	Q3 2027	$413,000	$9,678	In progress
Parking lot resurfacing	Site	11/26/24	Q4 2026	$261,000	$97,727	Deferred
ADA compliance	Building	11/10/23	Q3 2027	$108,000	$61,224	Deferred
Landscape / irrigation	Life Safety	03/28/26	Q3 2025	$621,000	$590,176	Approved
Lobby renovation	Life Safety	04/28/26	Q1 2026	$696,000	$69,804	Deferred
Elevator modernization	Energy	09/28/26	Q3 2026	$40,000	$32,992	Bidding
Amenity renovation	Energy	05/31/26	Q2 2026	$130,000	$74,910	In progress
Lobby renovation	Interior	08/21/25	Q4 2026	$537,000	$358,277	Complete
Pool resurfacing	Building	05/01/26	Q1 2026	$489,000	$365,296	In progress
Lobby renovation	Life Safety	07/06/23	Q4 2025	$833,000	$249,675	Deferred
Storefront glazing	Energy	09/02/23	Q2 2026	$579,000	$221,313	Complete
Landscape / irrigation	Interior	06/30/25	Q2 2025	$855,000	$148,566	Complete
Fire alarm panel upgrade	Building	12/10/24	Q1 2026	$650,000	$333,752	Deferred
HVAC replacement	Interior	01/14/25	Q4 2025	$497,000	$514,179	Approved
Unit interior upgrades	Life Safety	10/18/23	Q1 2027	$880,000	$200,603	Deferred
HVAC replacement	Life Safety	12/17/24	Q4 2025	$391,000	$14,887	Approved
Exterior paint	Site	11/16/23	Q4 2027	$337,000	$23,655	Approved
Security camera upgrade	Site	04/02/23	Q4 2026	$162,000	$40,320	Complete
Door hardware	Interior	09/30/24	Q3 2026	$192,000	$60,479	Approved
Parking lot resurfacing	Life Safety	02/23/23	Q2 2025	$775,000	$345,730	Deferred
Landscape / irrigation	Life Safety	08/08/24	Q3 2025	$297,000	$290,383	Bidding
Storefront glazing	Life Safety	01/03/25	Q1 2025	$740,000	$532,706	Bidding
Lobby renovation	Life Safety	01/18/24	Q4 2026	$216,000	$179,275	Complete
Amenity renovation	Site	08/16/25	Q2 2025	$419,000	$427,784	Bidding
HVAC replacement	Site	06/03/25	Q4 2027	$868,000	$536,816	Bidding
Unit interior upgrades	Building	04/26/26	Q1 2027	$257,000	$14,276	In progress
Lobby renovation	Energy	12/09/25	Q3 2026	$374,000	$321,378	In progress
ADA compliance	Interior	07/29/23	Q4 2026	$750,000	$167,051	Deferred
ADA compliance	Energy	12/25/23	Q4 2025	$589,000	$415,126	In progress
Roof replacement - Bldg B	Building	08/18/23	Q4 2026	$868,000	$825,644	Complete

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Observed Conditions

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $129,000. Elevators were last modernized 11 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 11 months.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 41 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 4 years ago and are operating without deficiency.

Investment Overview

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The property is located 3 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Pre-leasing for the coming academic year stands at 88.0% with rental rates per bed averaging $1,008. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The property is located 1 blocks from the main campus with a dedicated shuttle serving fall and spring terms. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns.

Observed Conditions

Elevators were last modernized 6 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 5 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $95,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Business Plan Progress

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 6.9% on contributed capital. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room.

Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Pre-leasing for the coming academic year stands at 90.3% with rental rates per bed averaging $1,008. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns.

Deferred Maintenance

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $400,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 36 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Parking lot resurfacing	Site	07/26/23	Q3 2027	$226,000	$76,033	Approved
LED lighting retrofit	Life Safety	01/07/24	Q2 2026	$869,000	$579,180	In progress
HVAC replacement	Building	10/01/24	Q3 2026	$565,000	$324,246	In progress
Storefront glazing	Life Safety	12/17/26	Q1 2026	$737,000	$336,675	Bidding
Roof replacement - Bldg A	Interior	12/23/24	Q3 2025	$720,000	$13,657	Approved
Water heater replacement	Energy	10/08/26	Q3 2027	$399,000	$39,885	Bidding
Amenity renovation	Life Safety	08/26/24	Q4 2027	$485,000	$212,219	Complete
Amenity renovation	Interior	03/11/25	Q3 2026	$472,000	$416,046	Complete
LED lighting retrofit	Energy	12/25/25	Q1 2027	$715,000	$43,741	Complete
Sewer line repair	Energy	01/26/26	Q4 2027	$144,000	$93,811	In progress
Fire alarm panel upgrade	Energy	01/30/23	Q2 2025	$878,000	$149,067	Deferred
Fire alarm panel upgrade	Interior	08/19/26	Q1 2025	$715,000	$295,294	Bidding
HVAC replacement	Building	04/18/26	Q4 2027	$587,000	$305,059	Complete
Signage / monument	Site	06/13/23	Q4 2026	$68,000	$20,313	Deferred
Roof replacement - Bldg B	Building	11/25/25	Q3 2025	$358,000	$9,979	Approved
Pool resurfacing	Life Safety	11/12/23	Q3 2027	$873,000	$532,580	Complete
Signage / monument	Building	11/12/25	Q2 2026	$849,000	$352,454	Bidding
Door hardware	Life Safety	01/12/26	Q2 2025	$599,000	$525,437	Deferred
ADA compliance	Life Safety	09/05/26	Q1 2027	$355,000	$43,645	Deferred
Unit interior upgrades	Site	02/17/26	Q1 2027	$362,000	$134,988	Bidding
Storefront glazing	Energy	01/31/26	Q4 2027	$708,000	$246,085	Deferred
Sewer line repair	Life Safety	09/04/26	Q3 2027	$291,000	$43,754	Approved
Elevator modernization	Site	02/15/24	Q2 2026	$883,000	$892,943	In progress
Landscape / irrigation	Building	06/06/26	Q4 2025	$900,000	$501,940	Bidding
Landscape / irrigation	Building	12/19/23	Q3 2025	$470,000	$224,428	Deferred
Fence replacement	Interior	06/16/23	Q3 2026	$643,000	$152,688	Deferred
Sewer line repair	Interior	12/30/26	Q1 2027	$320,000	$242,988	Deferred
Lobby renovation	Interior	10/30/23	Q2 2026	$8,000	$6,210	Approved
Sewer line repair	Site	04/08/25	Q2 2025	$577,000	$55,300	In progress
Fence replacement	Site	05/12/24	Q1 2025	$292,000	$94,811	Approved
Landscape / irrigation	Building	03/19/25	Q3 2025	$559,000	$357,165	Complete
Security camera upgrade	Site	08/12/26	Q4 2027	$393,000	$185,979	Approved
Storefront glazing	Interior	06/17/23	Q2 2025	$90,000	$60,464	Approved
HVAC replacement	Site	03/23/26	Q2 2025	$584,000	$86,717	Approved
Door hardware	Site	04/11/24	Q3 2025	$150,000	$124,516	In progress
Elevator modernization	Interior	01/23/25	Q4 2026	$80,000	$6,043	Approved
ADA compliance	Life Safety	10/31/25	Q4 2025	$661,000	$263,845	Approved
Lobby renovation	Energy	08/01/24	Q4 2026	$460,000	$193,584	Complete
Unit interior upgrades	Building	10/19/26	Q3 2025	$702,000	$503,982	Approved
Storefront glazing	Life Safety	02/10/25	Q1 2026	$748,000	$461,549	In progress
Signage / monument	Energy	09/29/23	Q1 2026	$455,000	$165,494	Bidding
Landscape / irrigation	Energy	06/27/23	Q3 2026	$58,000	$51,376	Bidding
LED lighting retrofit	Interior	05/02/24	Q1 2027	$578,000	$498,394	In progress

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Summary and Notes

Income and Expense Review

Debt service coverage ratio was 5.72x on a trailing basis against a covenant minimum of 1.20x. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Net operating income is projected to grow at a compound annual rate of 7.1% over the hold period. The property is located 8 blocks from the main campus with a dedicated shuttle serving fall and spring terms. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management fees are calculated at 7.6% of collected revenue and are included in operating expenses. Operating expenses totaled $88,000 or approximately 22.72 per square foot, with real estate taxes representing the largest line item. Pre-leasing for the coming academic year stands at 94.5% with rental rates per bed averaging $1,008. Effective gross income for the trailing period was $351,000, representing a 2.2% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 4.3% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Leasing and Marketing

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 43 additional team members. The property is located 3 blocks from the main campus with a dedicated shuttle serving fall and spring terms.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 95.0% of billed charges, with bad debt of 5.7% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 46 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 25th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The community is leased by the bed on individual lease liability with parent guaranties and furnished units.

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